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THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

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SOCIAL REPBULIC OF VIETNAM

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No.: DN04/2017HHDNNB

Hanoi, 20th March 2017

Re.: RECOMMENDATIONS FROM THE UNION OF BUSINESS ASSOCIATIONS
Follow-up report to the Prime Minister regarding the Decision on collecting border dues at Haiphong seaport

To:

- Prime Minister Nguyen Xuan Phuc
- Government Office
- Ministry of Finance
- Ministry of Transport
- Ministry of Industry and Trade
- Ministry of Justice
- Ministry of Planning and Investment
- Ministry of Foreign Affairs
- Haiphong City People's Council & People's Committee

The Japanese Business Association (JBAV) and the Vietnam Private Sector Forum (VPSF – the representative of local business enterprises) would like to make greeting to the Prime Minister, the leaders of the government Office, relevant ministries and local authorities.

Recently, regarding the fee collection regulation at Hai Phong port, The Japan Business Association in Vietnam (JBAV), the Vietnam Private Sector Forum VPSF (belong to VYEA) and other Vietnamese Business Associations have already sent our ideas and proposals to the Prime Minister and the government leaders to present our view from all enterprises. We are very pleased to know that the Vietnamese Government has approached the information in an objective and multi-dimensional way and instructed the Ministry of Finance and relevant Ministries to re-evaluate the regulation of above seaport border dues to make the report to the Government office before 2017, March 20th. The deadline for ministries is coming soon. Thus, with this official letter, we would like to send you again an analysis and assessment of the fee collection regulation for further consideration.

This opinion is the analysis result and the research of the Joint Working Group of all Associations, experts and lawyers.

We hope that the Prime Minister, the leaders of relevant Ministries and local authorities will thoroughly consider the issue, make reasonable decisions to build the trust within the business community.

1. Legitimacy of Resolution 148

While the Fees and Dues Law allows Haiphong to collect border dues for use of port infrastructure, the enactment and application of these dues have shown signs of violating

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specific rules of the Fees and Dues Law itself, Most favored nation and National treatment Ordinance (Vietnam's domestic policy representing its WTO bindings), and the Law on Enactment of Normative regulations. To be specific:

- Article 3.1, Fees and Dues Law, provides rules on applying the principle of 'invest first, collect dues later', or provision of public services first, and then determining fees and dues based on what and how services are provided. Article 8, Fees and Dues Law, sets forth the rules for collecting fees for cost recovery purposes, while assuring fairness, disclosure, transparency and equality. Haiphong's intent to collect border dues for port infrastructure use to upgrade the entire access roads to the port and other inner city roads (253 km in length) is in breach of the aforementioned Article 3, while also creating a 'fee overlap' situation, since funding for road upgrade has been paid for by road users through the existing road maintenance fee scheme. Added to that, users of port infrastructure and inner city roads are not only limited to shippers but include other businesses handling domestic goods and other types of vehicles. Charging border dues for port infrastructure use against shippers only does not align with the rule of fairness stated in Article 8.

To uphold the rule of transparency, also part of Article 8, Haiphong City needs to clearly define the scope of border port infrastructure for which dues have not been paid by users and how much is invested each year, so that it can come up with a reasonable fee level, indiscriminately of any users of such infrastructure.

- Imposing border port infrastructure dues only upon imports and exports, without doing the same with domestic goods going through Haiphong port will put Vietnam at risk of violating current WTO national treatment rules (Article 3, GATT), which has been integrated into local law through the Most favored nation and National treatment Ordinance of 2002.

- Both shipper and freight associations were not consulted throughout the process of crafting and releasing the Resolution by Haiphong. Haiphong did not undertake an impact assessment of administrative procedures, did not publish the draft regulation on the city's website for a minimum 30 days as required by the Law on Enactment of Normative regulations (Article 120 and others), while according to Article 2, Law on Enactment of Normative regulations, any legislation in breach of due processes will not be recognized as a normative regulation.

(A detailed analysis of Resolution 148 is enclosed in Attachment 1 that accompanies this letter).

2. Rationality of Resolution 148

Haiphong is the largest port in North Vietnam and accounts for 35% of the country's total volume of imports and exports. Statistics of JETRO (Japan) indicate that a container shipped from Hanoi through Haiphong port to Japan is subject to many layers of fees and charges, inflating the cost to USD 990 as compared to USD 270 from Guangzhou and USD 550 from Manila. Applying this levy will cost much more from shippers, given the average time spent on paying dues of as long as more than two hours, while more clearance documents are needed and higher warehousing expense also incurs because goods are not cleared within the day. This will in turn seriously undermine the competitiveness of imports and exports from Vietnam, as well as the investment climate in both Haiphong and Vietnam.

Below are a few points that evidence the irrationality of this rule:

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- While the distance from Haiphong port to the freeway or Highway 5 is only some 20 km, a fee of VND 500,000 per 40' container is charged, equivalent of the road and bridge fee for the entire length of Highway 5 to Hanoi, and half of the fee for the Hanoi-Haiphong freeway, and for a length just one fifth of the distance.

- Haiphong's decision will directly affect the earnings of thousands of shippers, and will also take a direct hit on the part of corporate income tax that belongs to the central government budget, as surveys specifically show that 27% of affected businesses will have their earnings shrunk by more than 15%; 20% with an earnings drop of 5%-10%; and 40% with 1%-5% less earnings. To deal with this issue, as surveys indicate, 30% of the businesses will likely raise their sales prices to try making up for the newly incurred costs, while 16.7% of the companies may have to scale down business, retrench employees and cut down on expenses. Shippers using Haiphong port, mostly in the textile, footwear, cotton and yarn business, and others, are often massively labor-intensive businesses. The textile and footwear industry alone employs around four million workers across the country. At that scale, only a tiny downsizing move will amount to the thousands, entailing major concerns in many ways (see Attachment 2 – Survey findings, accompanying this letter).

3. Other concerns

In Official Letter No. 10/UBTW-DNT, Jan. 23, 2017, VPSF made a brief consolidation of comments from various business associations for reporting to the Prime Minister and relevant ministries/line agencies, where it pointed to a number of issues of major concern, including the impact of a tighter national fiscal policy; abuse of dues and fees in different places with high and widely varying levels of fee, that may undermine the competitiveness of the country and municipalities, and affect the flow of goods and services of each business, something that goes against the government's guidelines on supporting businesses and plays down the effectiveness of national strategies for attracting goods in transit, bringing down logistics costs, crowding in investment and so on.

However, except positively unbiased comments, assessments and recommendations of the Ministry of Industry and Trade, the issues presented above were mostly ignored or only mentioned in a very generic way in the part on counseling the Prime Minister by other relevant ministries. The way these ministries deal with the said problems has indeed come short of giving confidence to the business community, and failed to convey the government's intent in constructing and taking actions for economic development. The 'red carpet on top, spikes below' story is still rampant, and as a consequence, the ability to spur economic growth, draw investment and drive the momentum for the Vietnam economy as a whole and the private sector in line with Resolution 19 of 2017 recently unveiled by the government seems to have a long way to go.

In a short period ahead, Vietnam will have the honor of becoming the host nation for the APEC 2017 convention to be attended by many countries and international organizations and observers. In our humble opinion, the conviction for encouraging investment and facilitating trade of the government and Prime Minister must translate into concrete actions. Solving the tough questions of national and local budget cannot be done along the paths being followed by Haiphong, but requires meaningful strategies that serve the greater good for national commerce development, which will in turn help grow budget revenue.

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Being candid and constructive in our approach and willing to join hands and share the burden with the government, Prime Minister, ministries, line agencies and municipalities to build and promote economic development, improve the business climate, and strengthen the country's competitiveness, all Business Associations would like to receive the satisfactory decisions from the government and the Prime Minister so Japanese enterprises and Vietnamese enterprises in surmounting the challenges ahead over time and contributing to the strong growth and development of the national economy.

This decision of the Government is not only valid for this one case but will be the basis for the next local government (such as HCMC, Ba Ria-Vung Tau ...) when make developing and promulgating the similar charge without continue creating the burden and psychological instability for business community.

CO-SIGNING THIS LETTER

THE REPRESENTATIVE OF VIETNAM BUSINESS ASSOCIATION
VIETNAM YOUNG ENTREPRENEURS ASSOCIATION
VIETNAM PRIVATE SECTOR FORUM

Tran Anh Vuong
Vice Chair, Vietnam YE Association
Executive member, Vietnam Private Sector Forum

THE JAPAN BUSINESS ASSOCIATION IN VIETNAM

CHAIRMAN, Taiji YANAI

C/c:
- As addressed on top;
- VPM Vuong Dinh Hue;
- VPM Vu Duc Dam;
- National Economics Committee; National Communication and Education Committee;
- National steering committee for ASW, NSW and TF (Customs General Department);
- National Council for Sustainable development and Competitiveness enhancement (MPI);
- Prime Minister's Advisory Board for Administrative procedure reform (Admin. Procedure Control Office);
- NA Finance-Budgeting Committee;
- Vietnam Chamber of Commerce and Industry (VCCI);
- Central Institute for Economics Research and Management (CIEM);
- Filing: VPH, VPSF.